BREAKWAVE ADVISORS

Tanker Shipping

Bi-Weekly Industry Report

August 12, 2025

- **VLCC Market Rebounds on Stronger MEG Activity –** Following the charterer-led softness at the end of July, the VLCC market has **regained firmer footing** in mid-August, particularly in the Middle East Gulf (MEG). Early-month enquiry for late-August stems has been more active than expected, helping to absorb part of the tonnage overhang that had weighed on sentiment. **Owners have resisted** last-done levels, pushing AG/China and AG/Singapore freight higher than earlier in the summer. In West Africa, **fundamentals also appear supportive**, though competition from the Suezmax segment remains a factor in Atlantic trades. Meanwhile, US Gulf and Brazil VLCC routes have strengthened, with recent fixture volumes providing enough momentum to sustain the market's firmness. Looking ahead to the remainder of August, recent weekly gains are **boosting sentiment** in the dirty freight market, even as it continues to face challenges from U.S. policy actions and, more recently, the potential enactment of tariffs on Indian exports aimed at reducing reliance on Russian crude. On the demand side, **China's crude import appetite remains a bright spot**. July crude oil imports averaged 11.12 million bpd, up 11.5% year-on-year, with January–July imports totaling 11.25 million bpd, up 2.8% y/y. On the supply side, OPEC+ implemented a 548,000-bpd production increase in August, followed by a further 547,000-bpd boost scheduled for September, reflecting ongoing efforts to restore supply and support market stability.

- **Oil Prices at Two-Month Lows as OPEC+ Adds More Barrels –** The combination of OPEC+ **production increases** and expectations for **gradual progress** in resolving the Russia-Ukraine conflict has contributed to crude prices retreating to two-month lows. Despite an improved demand outlook, supported by relatively strong Chinese import activity, oil prices remain near the bottom of their recent range, with **few catalysts visible** to sustain a rebound. Since March, OPEC+ has added about 2.5 million barrels per day, marking the first significant increase in nearly three years. In the current price environment, the move appears aimed at **gaining market share** from higher-cost U.S. producers while moderating the pace of price declines. **Chinese stockpiling** is providing some price **support**, but without a sustained and meaningful shift in transportation fuel demand, an outcome that seems unlikely, the global oil demand outlook remains modest.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

Short-term Indicators	
Momentum:	**Positive**
Sentiment:	**Positive**
Fundamentals:	**Positive**

Breakwave Tanker Futures Index:	**1296**
30D: 11.0%	↑
YTD: 19.7%	↑
YOY: 11.5%	↑
VLCC Middle East-Asia Spot Rates:	**12.28**
30D: 14.6%	↑
YTD: 36.8%	↑
YOY: 22.6%	↑

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

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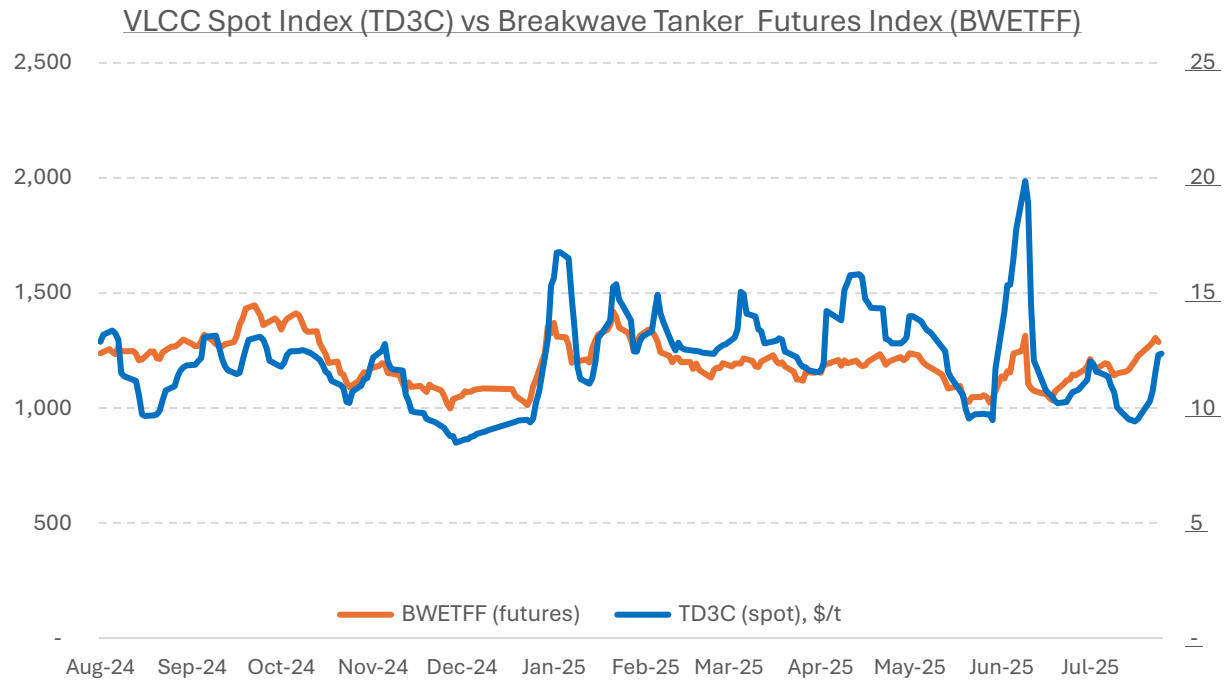

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	105,066 kbpd	1.0%
Oil Supply, OPEC	28,310 kbpd	4.3%
Oil Supply, non-OPEC	72,713 kbpd	0.4%
OECD Total Crude Oil Stocks	1070.6 MMbls	-2.1%
US Crude Oil Exports	19.8 MMbls	-6.9%
China Oil Imports	327.0 MMbls	2.9%
Global Crude Oil Floating Storage	80.5 MMbls	11.7%

Supply		
Tanker Fleet	700.8 mdwt	1.2%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.56	-13.3%
Suezmax West Africa-Europe, USD/ton	16.41	-19.0%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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